requisite entrepreneurial ability and skilled labor force is lacking. The expansion of Arab manufactures will, at best, make only a very modest contribution to the increased urbanization of Arab occupations during the next decade.

There does, however, exist a firm basis for further expansion of Jewish manufactures. Such manufactures should be able to expand their regional and world markets and to supply many commodities imported before the war. It will be much easier to develop a local manufacturing industry to displace imports for a Jewish population of 1,800,000 than for a population of 600,000. Given an expanded local base, it will also be easier to supply neighboring regional markets. On the upper and lower limits of our assumed immigration, there is firm ground to believe that Jewish manufactures could employ 19 percent to 21 percent of the Jewish labor force. To do so, however, would require an expansion in their capital by between £P 35 million and £P 50 million.

CONSTRUCTION REQUIREMENTS

Palestinian housing today is meager and poor. In 1944, after the accumulated shortages of the 1930's had been aggravated by the wartime ban on private construction, 50 percent of the Jewish people of Tel Aviv were living 3 persons or more to a room.* Arab urban overcrowding was slightly less acute, but the Arab rural standard was even lower. A Jewish collective farm also was considered to be well-established if it could afford a small room for each couple.

Non-residential buildings are, with few exceptions, very modest. Private commercial and industrial buildings are, at best, adequate. Public buildings, apart from police stations, are conspicuous by their absence. School buildings, where they exist, are generally of a quality to stimulate concealment rather than display. The outstanding achievements in public construction are the road system and the port of Haifa. Government has done nothing toward

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*Rooms exclusive of kitchen, bath and toilet.